(b) **Separate legal entity**: Company is an artificial person. It has a separate legal entity which is separate and distinct from its members.

(c) **Common seal**: A company may have a common seal which can be affixed on the documents.

(d) **Perpetual succession**: A company continues for ever. Its continuity is not affected by the changes in its members. It can be wound up only by law.

(e) **Limited liability**: The liability of the shareholders of the company is limited to the extent of face value of the shares held by them.

(f) **Transferability of shares**: The shares of a company are freely transferable except incase of a private company.

7.4 Meaning and types of shares

The capital of a company is divided into small units of fixed amount. These units are called shares. The shares which can be issued by a company are of two types (i) preference shares and (ii) equity shares.

(i) Preference shares

Preference shares are the shares which have the following two preferential rights over the equity shares:

(a) Preference towards the payment of dividend at a fixed rate during the life time of the company and

(b) Preference towards the repayment of capital on winding up of the company.

(ii) Equity shares

Equity shares are those shares which are not preference shares. These shares do not enjoy any preferential rights. Rate of dividend is not fixed on equity shares and it depends upon the profits earned by the company. Incase of winding up of a company equity shareholders are paid after the payments are made to preference shareholders. Equity shares are also known as ordinary shares.

7.5 Divisions of share capital

The share capital of a company is divided into the following categories:

(i) Authorised capital

It means such capital as is authorised by the memorandum of association. It is the maximum amount which can be raised as capital. It is also known as registered capital or nominal capital.

(ii) Issued capital

This represents that part of authorised capital which is offered for subscription.

(iii) Subscribed capital

It refers to that part of issued capital which has been applied for and also allotted by the company.

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